



Risk Classification, Scoring & Framework



EaziWage

Risk Classification, Scoring & Framework

Version History

Version No.	Date Updated	Updated By	Update Summary
1	25 Oct 2025	Jason Crawford	First Risk Classification, Scoring & Framework

Approval Record

Version No.	Date Approved	Approved By
1	25 Oct 2025	EaziWage Holdings Limited Board Members

Ownership

Chief Executive Officer

Applicability

This Risk Classification, Scoring & Framework (“the Framework”) provides insights into EaziWage Holdings Limited (“EaziWage”) robust risk identification, scoring, management and mitigation process for both employers and employees, collectively the Users of EaziWage’s services. The Framework applies to all employees, employers, and any other employees or entities within the EaziWage Group, if and where relevant that make use of our services.

1. Introduction

At the core of EaziWage's earned-wage access (EWA) platform, EaziWage is effectively providing financial-services (disbursing wages early, handling funds flows, managing employer payroll/employee earnings) to employees on behalf of employers. As such, EaziWage has developed a **robust risk classification & scoring** Framework for both sides of the marketplace (employees and employers) so as to manage credit and business-risk (collectively the "Risks").

Below is a comprehensive Framework to be used to classify, manage, and mitigate against Risk. Herein, a mathematical service-fee model that dynamically adjusts based on the risk category (Low / Medium / High) is adopted.

2. Risk Categories

In alignment with the KYC & Due-Diligence Framework, EaziWage has incorporated 5 key risk dimension factors scored for each employee and employer:

1. Legal & Compliance
2. Financial Health & Solvency
3. Operational / HR Dynamics
4. Sector & Regulatory Exposure
5. AML / Ownership Transparency

2.1 Employer & Employee - Overall Weighting Logic

The total weights sum to **100%**.

Table 1: Employer - Overall Weighting Logic

Risk Dimension	Factors	Total Weight	Rationale
Legal & Compliance	Registration + Tax Compliance + EWA Platform Agreement	20%	Foundational compliance — if a company isn't properly registered or tax-compliant, the rest of the due diligence becomes irrelevant. But these are binary tests (pass/fail), so 20% is enough without dominating the model.
Financial Health & Solvency	Audited Financials, Liquidity Ratio, Payroll Sustainability	35%	This is the <i>core risk driver</i> for an EWA provider. Employers must fund payroll predictably — solvency determines whether you'll recover advances. Hence,

Risk Dimension	Factors	Total Weight	Rationale
			this section gets the heaviest weighting .
Operational / HR Dynamics	Employee Count, Churn, Payroll Integration	20%	Operational continuity and system integration strongly affect your default risk. Small or manual payrolls = higher administrative failure risk. Still, it's secondary to liquidity, so we cap at 20%.
Sector & Regulatory Exposure	Industry + Regulatory record	15%	Different sectors have structural cash-flow volatility (e.g., logistics vs. Education vs construction). This captures contextual risk, but not firm-specific health, so 15% is sufficient.
AML / Ownership Transparency	Beneficial Ownership + Sanctions	10%	AML/KYC risk matters for regulatory exposure and reputational damage, but it's not directly linked to wage repayment probability in a domestic EWA product. Thus a lower, yet non-trivial, 10%.

Table 2: Employee - Overall Weighting Logic

Risk Dimension	Factors	Total Weight	Rationale
Legal & Compliance	Verification + Tax Compliance	25%	Foundational compliance — if an employee isn't properly verified or tax-compliant, the rest of the due diligence becomes irrelevant. But these are binary tests (pass/fail), so 25% is enough without dominating the model.
	Consent & Data Rights	10%	Data Protection and Collection compliance — an employee has to agree to the Terms & Conditions and EaziWage policies. But these are binary tests (pass/fail), so 15% is enough without dominating the model.

Risk Dimension	Factors	Total Weight	Rationale
Financial Health & Solvency	Bank and mobile wallet account verification	45%	This is the <i>core risk driver</i> for an EWA provider. Management of fraudulent wallets determines legitimacy of advances and our ability to recover advances. Hence, this section gets the heaviest weighting .
Operational / HR Dynamics	Employment & salary information	20%	Employee employment details provided and considered true and real. But these are binary tests (pass/fail), so 20% is enough without dominating the model.
Sector & Regulatory Exposure	N/A	N/A	N/A
AML / Ownership Transparency	N/A	N/A	N/A

2.2 Why These Ratios Make Practical Sense

a. Financial strength and liquidity dominate risk

Most Employer defaults in payroll obligations arise from **liquidity constraints**, not fraud. For an EWA platform, our biggest exposure is that the employer may delay salary disbursement, blocking you from recovering advanced wages. → Hence, **financial metrics get 35-45%** — the single largest slice.

b. Legal registration, verification and tax compliance are gatekeepers, not continuous risk drivers

Once verified, these seldom change unless the business faces regulatory collapse or employees fail to file personal taxes. So, while important, they don't justify **≥40%** weight combined.

c. Operational controls reflect your data & integration dependency

If you rely on manual or semi-manual payroll updates, with no traceability of employment contracts, payslips, etc. you face reconciliation errors and repayment delays — key operational risk for EWA recovery.

d. Industry risk reflects structural volatility

Employment sectors such as construction, logistics, and hospitality have cash-flow cycles tied to contracts or seasons or projects; retail, education, health, and finance are more predictable. That variability drives industry weighting.

e. AML/Ownership ensures regulatory defensibility.

Financial Reporting Centre's (FRC) increasingly audit fintechs for beneficial ownership traceability, but this is a *reputational* and *compliance* vector, not a direct liquidity one. So, this remains material but not dominant.

Our chosen weighting criteria our model is **most sensitive to solvency**, then moderately to operational factors, least to AML flags — which aligns with your **core credit recovery risk** hierarchy.

2.3 Summary Justification Table

Table 3: Overall Justification Logic

Group	Weight	Why It Matters	Why Not More
Legal & Compliance	20% - 35%	Filters unregistered or non-compliant entities and unverified or non-compliant employees	Once verified, rarely changes
Financial Health & Solvency	35% - 45%	Determines payroll reliability, your primary exposure	Beyond this would overweight liquidity vs. other operational controls
Operational / HR Dynamics	20%	Affects data accuracy & repayment timing	Doesn't directly indicate solvency
Sector & Regulatory Exposure	15%	Captures macro volatility	Macro factor, not firm-specific
AML / Ownership Transparency	10%	Protects against reputational & regulatory risk	Low direct correlation with default

3. Risk Classification & Scoring Matrix

EaziWage has incorporated risk scoring for each employee and employer using the criteria below:

Table 4: Employer - Risk Classification & Scoring Matrix

Category	Risk Factor	Description / Criteria	Scoring Range (0-5)	Weight (%)
Legal & Compliance	Registration status	Fully registered & compliant (5), Registration pending (2), Unregistered (0)	0-5	10%
	Tax Compliance	Valid Tax Compliance Certificate (5); certificate overdue or invalid (3); no certificate (0)	0-5	7%
	EWA Platform Agreement	EWA Platform Agreement Signed and Valid (5); EWA Platform Agreement under Renewal (3); No Valid EWA Platform Agreement (0)	0-5	3%
Financial Health & Solvency	Audited Financials	3 years of audited financials (5); partial or unaudited (2-4); none (0)	0-5	15%
	Liquidity Ratio (Current Ratio)	>1.5 (5); 1.0-1.5 (3); <1.0 (1)	0-5	10%
	Payroll Sustainability	Payroll account funded regularly for >12 months (5); Payroll account funded regularly for >6 months (3); inconsistent funding (0)	0-5	10%
Operational / HR Dynamics	Number of Employees	>100 (5); 20-99 (3); <20 (1)	0-5	5%
	Employee Churn Rate	<5% per month (5); 5-10% (3); >10% (1)	0-5	5%

Category	Risk Factor	Description / Criteria	Scoring Range (0-5)	Weight (%)
	Payroll System Integration	Automated payroll API (5); manual upload (3); no integration (1)	0-5	10%
Sector & Regulatory Exposure	Industry Risk	Low-risk = 5; moderate-risk = 3; high-risk = 1 Use Annexure 1 (Industry Sector Risk Classification Matrix)	0-5	10%
	Regulatory Exposure	No pending cases or fines (5); minor compliance issues (3); regulatory action pending (0)	0-5	5%
AML / Ownership Transparency	Beneficial Ownership Transparency	Fully disclosed (5); incomplete (2-4); unclear/offshore (0-1)	0-5	5%
	PEP / Sanctions Screening	Clear (5); flagged but justified (3); confirmed high-risk (0)	0-5	5%

Table 5: Employee - Risk Classification & Scoring Matrix

Category	Risk Factor	Description / Criteria	Scoring Range (0-5)	Weight (%)
Legal & Compliance	Verification status	Fully verified & compliant (5), Verification pending (2), Unverified (0)	0-5	15%
	Tax Compliance	Valid Tax Compliance Certificate (5); certificate overdue or invalid (3); no certificate (0)	0-5	10%
	Consent & Data Rights	EaziWage Terms & Conditions & Policies accepted (5); EaziWage Terms & Conditions & Policies partially accepted (3); EaziWage	0-5	10%

Category	Risk Factor	Description / Criteria	Scoring Range (0-5)	Weight (%)
		Terms & Conditions & Policies partially NOT accepted (0)		
Financial Health & Solvency	Bank and mobile wallet account verification	Both Bank & Mobile Wallet fully verified & compliant (5), Verification pending on either Bank or Mobile Wallets (2), Unverified (0)	0-5	45%
Operational / HR Dynamics	Employment Status	Full-time (5); part-time (3); probationary period or temporary (0)	0-5	7.5%
	Employment Contract	Signed & Valid Employment Contract (5); No Signed & Valid Employment Contract (0)	0-5	7.5%
	Recent Payslips	Last 3 months provided (5); Last 1-3 months partially provided (3); > 3 Months and Outdated (1)	0-5	2.5%
	Bank Statements & Mobile Wallet Credit Evidenced	Last 3 months evidence (5); Last 1-3 months partially provided (3); > 3 Months and Outdated (1)	0-5	2.5%
Sector & Regulatory Exposure	N/A	N/A	N/A	N/A
AML / Ownership Transparency	N/A	N/A	N/A	N/A

4. Risk Classification & Rating Formula

Each Employer's and Employee's Composite Risk Score (CRS) is a weighted average of the above criteria:

$$CRS_{employee/employer} = \frac{\sum (Score_i \times Weight_i)}{\sum Weight_i}$$

where each Score_i is between 0–5 and each Weight_i is the percentage weight shown above in Table 4 and Table 5.

$$CRS_{total} = \frac{CRS_{employee} + CRS_{employer}}{2}$$

Table 6: Employee - Risk Category Thresholds

Risk Rating	Score Range (CRS)	Description
Low Risk (A)	4.0 – 5.0	Stable, compliant, transparent, financially healthy
Medium Risk (B)	3 – 3.9	Moderate risk, minor compliance or liquidity issues
High Risk (C)	2.6-2.9	Weak compliance, unstable finances, or opaque ownership
Very High Risk (D)	0-2.5	Cannot advance wages

4. Dynamic Application Fee Allocation Model

EaziWage will tie the EWA application fee to the Total CRS using a risk-adjusted multiplier:

$$Application\ Fee\ (\%) = B_f + (R_f \times \left(1 - \frac{CRS_{total}}{5}\right))$$

where:

- B_f = Base Service Fee (3.5%)
- R_f = Risk Adjustment Factor (3.0%)
- CRS_{total} = Total Composite Risk Score (0–5)

The **Risk Adjustment Factor** represents the *maximum additional premium* EaziWage charges above our Base Service Fee to compensate for:

- Employer default or delayed payroll risk,
- Operational and compliance risk (AML, data sharing, employment churn),
- Liquidity risk on advances, and
- Cost of enhanced due diligence for higher-risk entities.

4.1 Economic & Regulatory Justification for the Risk Adjustment Factor

a. Capital Cost & Liquidity Buffer

EWA models must maintain cash to pre-fund advances. Assuming cost of capital around **14–18% per annum** (as per CBK base lending rates), a **3–4%** monthly service differential adequately buffers liquidity risk without overpricing.

b. Default Probability

Historical payroll risk in mid-tier employers' averages:

- <1% for listed corporates (low risk)
- 2–3% for mid-sized retail/logistics firms (medium)
- 5–7% for small or informal entities (high)

A **2–4%** fee swing compensates for these expected losses.

c. Regulatory & Compliance Cost

High-risk employers require enhanced due diligence, audit trails, and reporting to the **Financial Reporting Centre (FRC)** under POCAMLA. EDD costs (time + data verification tools) justify an extra **1–1.5%** margin.

d. Market Sensitivity

EWA pricing must remain employer-acceptable; a total application fee above ~5% begins to resemble short-term credit, risking CBK scrutiny. Hence, $R_x > 4\%$ would raise compliance concerns.

Therefore, a **3.0% Risk Adjustment Factor** is a strong median starting point for most EWA portfolios. It provides a **1–2% margin swing** between low and high-risk entities, enough to offset expected variance in payroll stability and credit recovery.

5. Implementation Notes

- Build the Risk Scoring, Classification & Rating Formula/Matrix into the EWA admin dashboard with weighted formulas for automation.
- Capture scoring inputs via your onboarding portal (checkbox or slider scale).
- Allow your compliance team to override scores manually (e.g., flagged for enhanced due diligence).
- Automate application fee recalculation annually or when risk factors change (e.g., tax compliance lapses).
- Send prompts to employers and employees on how non-compliance or changes in KYC and Due-diligence can impact application fees.
- Log all CRS and application fee calculations for auditability under CBK & FRC compliance expectations.

6. Strategic Considerations & Recommendations

- Begin with R_f of **3.0%**, and re-evaluate quarterly based on:
 - Default rate variance ($\Delta > 1\%$ triggers review);
 - Average advance recovery period;
 - Regulatory cost changes (AML/KYC systems);
 - Weighted-average CRS of portfolio base
- Introduce a **Risk Margin Smoothing Function**:
 - Adjust $R_x \pm 0.5\%$ automatically if portfolio risk-weighted CRS moves outside target range (e.g., below 2.8)
- Maintain transparency by disclosing a **flat application fee tier (Up to 5%)** tied to risk classification.

Contact Us

info@eaziwage.com

+254 72 315 4900



EaziWage